

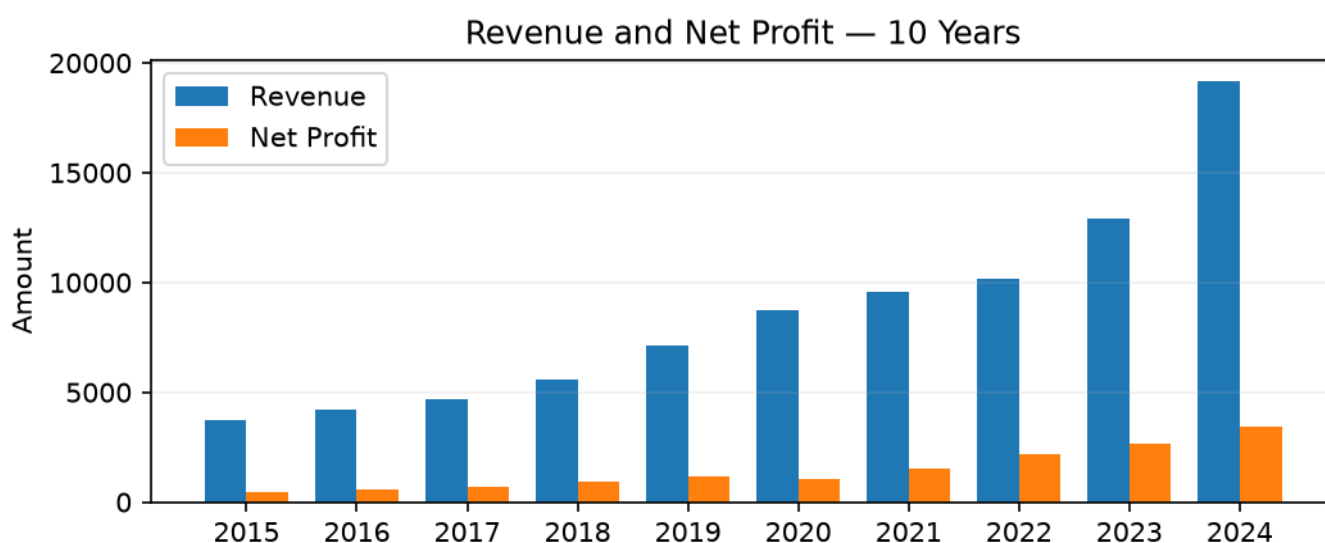
Cholamandalam Investment & Finance Company Ltd

CHOLAFIN

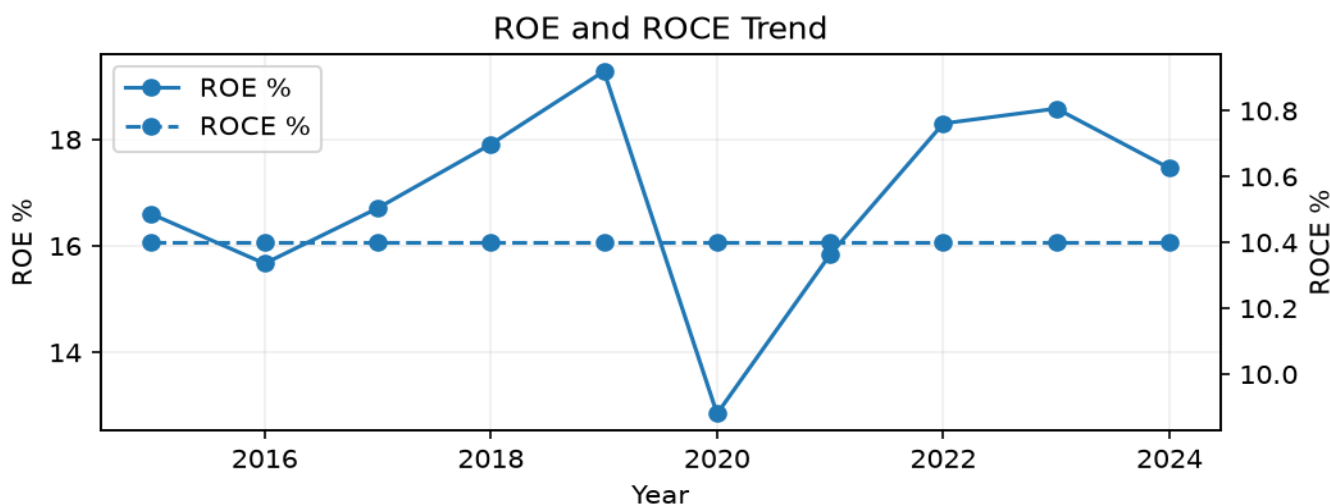
Sector: Financials

ROE 17.46%	ROCE 10.40%	Net Profit Margin 17.85%
D/E 6.86	Revenue CAGR 5Y 21.94%	FCF -38,538.00 Cr

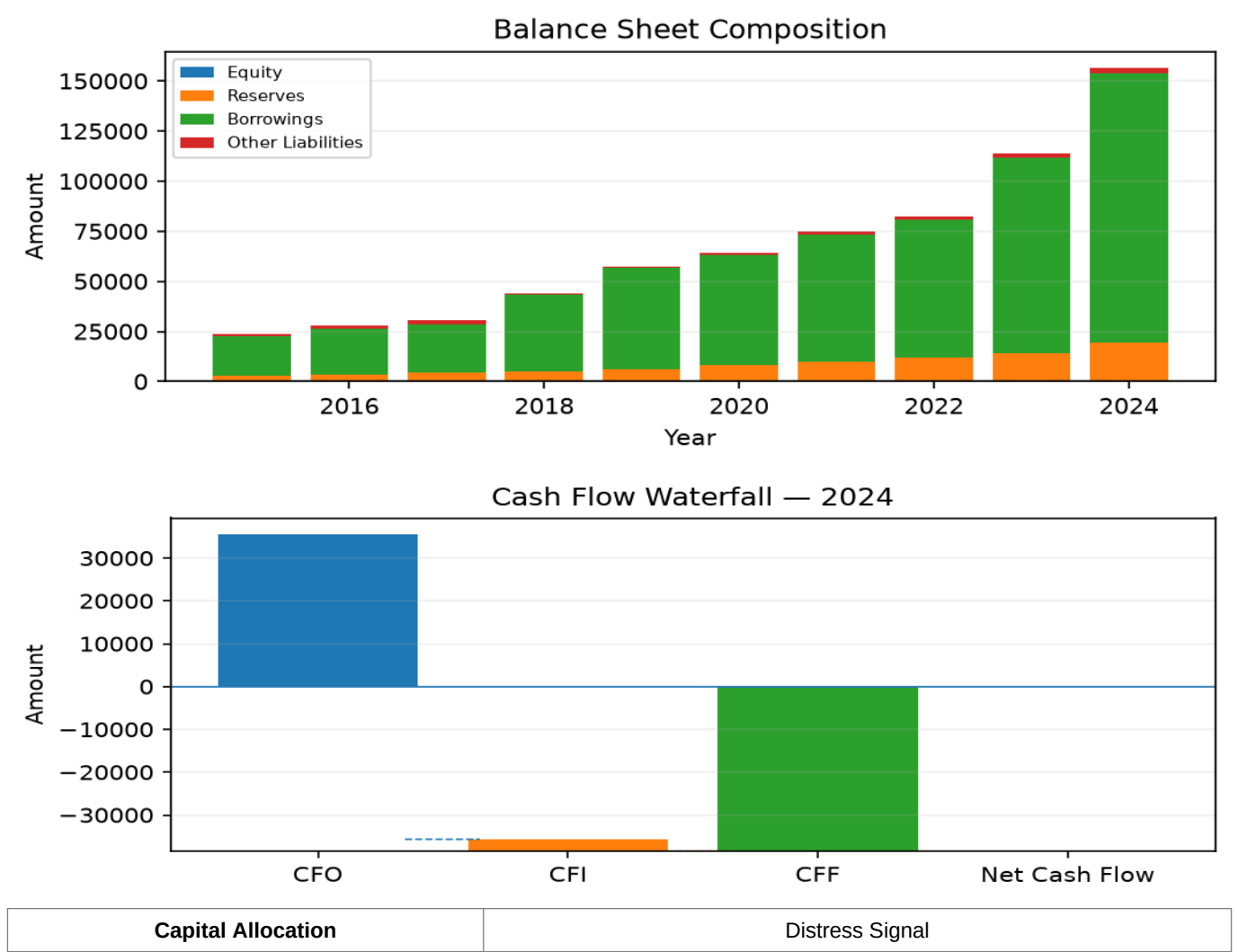
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (confidence 95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (confidence 95%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (confidence 89%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 88%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (confidence 90%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (confidence 85%)